

Sparks and sneakers behind the lift in inflation

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By [Sian Fenner](#) & [Justin Smirk](#)

09:55 February 26 2026

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A short video from Sian Fenner and Justin Smirk on inflation and the economic outlook.

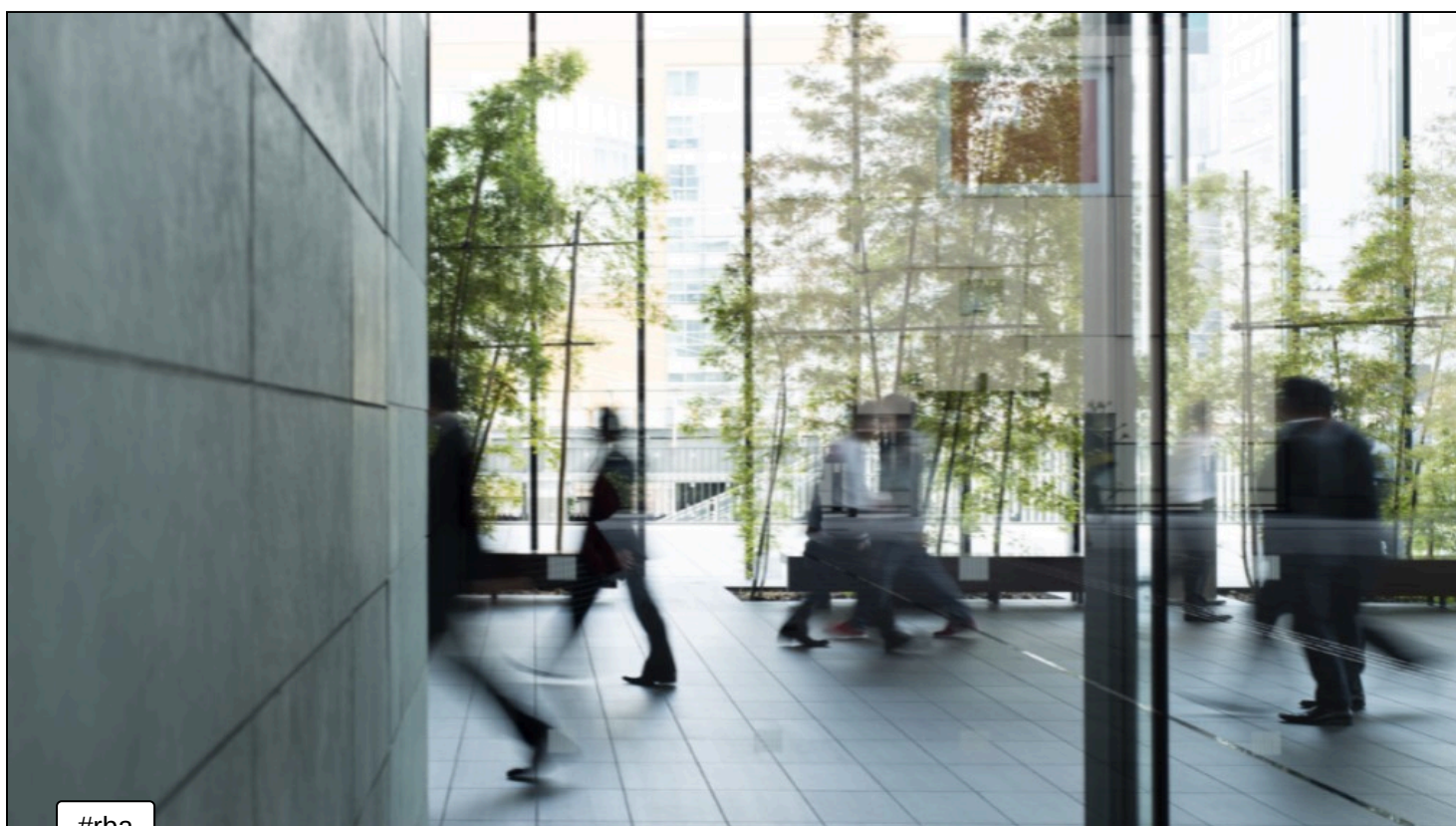
At 3.8%yr, January CPI inflation was slightly stronger than expected, driven by a larger-than-anticipated rise in electricity prices as cost-of-living rebates expired, along with an unseasonal increase in clothing and footwear. However, the small lift in core inflation reflected revisions to seasonal adjustment rather than stronger monthly price pressures. As such, we see no implications for our inflation outlook or for how the RBA assesses inflation risks.

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